

4.3.1 GLOBALISATION

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An economy is the state of a country or region in terms of the production and consumption of goods and services and the supply of money

Economy is the large set of inter-related production and consumption activities that help in deciding how scarce resources are allocated.

Developed Economy

A developed economy is one that has high levels of economic growth and a stable economy. They have a high standard of living, high levels of education and income per capita (per person)

Developing Economy

A developing economy is one where there are low incomes, low GDP, high mortality rates, a poor standard of living and low levels of education, plus a high reliance on agriculture

Emerging Economy

Emerging economies have fast growth rates, are industrialised rather than agricultural and feature a growing middle class who are demanding more goods and services

e.g. BRICS: Brazil, Russia, India, China and South Africa

MINT: Mexico, Indonesia, Nigeria, Turkey

Characteristics of Economies at Different Stages of Development

Developed economies:

- High income levels
- High literacy rate
- High life expectancy
- Good infrastructure
- Highly industrialised
- Low levels of unemployment

Developing economies:

- Low income levels
- Low literacy rate
- Low life expectancy
- Poor infrastructure
- Reliance on primary sector
- High unemployment
- High population growth

Growing Economic Power of Asia, Africa and Other Parts of the World

- China's growing economic power indicates that it is also one of the world's biggest investors in other countries.
- China has come to be known as 'Factory Asia' for its dominance of global manufacturing.
- China has efficient suppliers and excellent infrastructure, allowing for further cost-effective growth.
- It has access to lower-cost labour throughout SouthEast Asia
- Chinese and other Asian consumers are spending more, which increases demand and reinforces local production and distribution.
- Superpowers are countries, or groupings of countries, with global influence and power.
- They have economic, cultural and geopolitical influence. Superpowers shift over time, as some powers decline and others emerge.
- The BRICS are Brazil, Russia, India, China and South Africa.

Implication of Economic Growth for Individuals and Businesses

Economic growth

- Growing economies start to see changes in employment patterns; working women, migration, the rise of the multi job, home working and the search for a better work-life balance.
- The countries that manage to pull themselves out of poverty and get richer are those that are able to diversify away from agriculture and other traditional products.
- As labour and other resources move from agriculture into modern economic activities, overall productivity rises and incomes expand.

What does all this growth mean for business?

- All these new growing and emerging economies have increasing incomes of their citizens
- This means opportunities to increase revenue and profit for MNCs by moving into new markets
- Increased incomes combined with low labour costs and proximity to market make these growing economies very attractive

Trade opportunities

- **For businesses**
 - Increases consumption - good for firms looking to invest or sell their products and services.

- Disposable income rises - individuals have more money to spend, which increases demand. Demand is likely to become income elastic.

- **For individuals**

- May be able to buy cheaper goods from overseas where production costs are lower.
- More choice - large variety in quality, designs and product ranges.
- Greater choice helps to increase the standard of living.

Employment patterns

- **For businesses**

- Prominent indicators of how healthy an economy is - a firm might want information on unemployment rates and trends, labour costs and productivity.
- May want to know more about the educational qualifications of potential employees.
- If the unemployment rate is high, people may not have much money to spend or save.
- High level of unemployment in a country indicates that it is not a good time to consider exporting there.

- **For individuals**

- Unemployed individuals may be looking for jobs, so firms could find labour there and export elsewhere - could directly invest in a country by building a factory.
- Future employment trends can be impacted by development in technology - new technology may mean that fewer workers are required to manufacture goods.

Indicators of Growth

There are lots of ways to measure the growth rate of a country, the main ones that your exam board would like you to know about are:

1. Gross Domestic Product (GDP) per capita
2. literacy
3. health
4. Human Development Index (HDI)

Gross Domestic Product (GDP) per capita: A measure of economic activity - it includes all of the goods and services produced in a year, divided by the number of people in the country.

- GDP stands for Gross Domestic Product
- The GDP figure for a country shows the sum total of everything they produce as a nation
- Add up the value of all the goods and services made by a country in a year – this is the income or GDP of that country
- GDP is a good indication of how much an economy produces each year
- Data is collected into useful tables and charts, published and made available free of charge.
- However, data may not always be consistent, comparable or easy to verify.

Human Development Index (HDI): This is a statistic which combines; life expectancy, education and income which are used to rank countries into four tiers of human development

- **Life expectancy:** average number of years a person can expect to live. It is an important indicator of the health of a nation as well as the quality of its healthcare and social systems.
- **Mean years of schooling:** help to assess the average amount of education a 25-year-old person might have had. However, it does not consider the nature or quality of that education.
- **Gross National Income per capita (GNI):** illustrates the relative wealth of the population (as measured in PPP\$).

It is important for businesses to watch developments in world affairs carefully as these can have a dramatic impact on the economic development of a country. By keeping up to date with world affairs, businesses can identify new opportunities and reduce the impact of threats.

International Trade and Business Growth

International trade can be said to

- Allow countries to obtain goods that cannot be produced domestically.
- Allow countries to obtain goods that can be bought more cheaply from overseas.
- Help to improve consumer choice.
- Provides opportunities for countries to sell off surplus commodities.

Visible trade and invisible trade

- Visible trade involves trade in physical goods
- Invisible trade involves trade in services.

The difference between visible exports and imports is known as **visible balance** or **balance of trade**.

Exports and Imports

Exports and imports generate revenue for businesses in different countries which contributes to business growth.

Exports

- Easiest mode of entry into the international market
- Exporting has become easier due to trade liberalisation - this has reduced tariffs and quotas that may have otherwise have limited overseas sales.
- Most developed economies rely on the sale of invisible items to generate export earnings as production is dominated by the tertiary sector.
- Least risky form of entering into foreign market - a firm can limit the amount of money it spends and see if there is a good level of demand.

Imports

- Imports are the goods and services that are brought into one country from another.
- Countries try to limit the importation of goods by placing trade barriers such as tariffs, which are taxes imposed on imports.
- In order to liberalise trade, WTO aims to reduce the use of tariff or limit the levels of tariff through treaties.
- However, non-tariff barriers are harder to manage. Such as:
 - Giving subsidies to local firms to help keep prices lower than imports.
 - Quotas - putting limits on the number of imports.
 - Creating rules about how much of a product must be made in the country or in what way.

A firm can trade directly by hiring a local agent. It can also operate indirectly by having another person or firm to take on all responsibility for selling and distributing the products for them.

However, exporting and importing are not totally risk free. Some risks involved are:

- Exchange rate fluctuations - demand falls as local currency appreciates against foreign currencies.
- Governments can impose trade barriers, which limit a firm's access to the market.
- Conflicts with agents or distributors that are difficult to resolve from outside of the country.

Implication of Increasing Specialisation by Countries and Businesses

- Specialisation is the process of a country concentrating on and becoming expert in a particular subject or skill
- This means that a country will have industries in which it leads the world. This may be due to; proximity of raw materials, low labour costs, historical ability or other factors

Division of labour - workers specialising in a productive activity. Specialisation increases the speed and skill of workers - improves efficiency and saves time.

Specialisation by countries

- Countries are likely to specialise if they have developed more efficient production methods than those of their rivals.
- A country may be more efficient because it has access to cheaper resources such as labour.
- Specialisation increases global output and prosperity.

Specialisation by businesses

- Businesses will gain a competitive advantage through specialisation. It is helpful for business for various reasons such as:
 - It may have particular resources that it can use whenever it goes, such as highly trained and specialised staff.
 - It may have acquired access to local markets, resources and materials.
 - It may be able to better organise and replace separate, cross-border trading enterprises (exporting and importing) with one firm that does it all - organises, manages and controls all trading activities.

Specialisation in production results in greater efficiency - allows goods and services to be produced at a lower cost per unit - enables businesses to reduce prices or to increase profit margins, both of which can lead to business growth.

Firms can expand abroad in stages - beginning with exporting and gradually increasing their involvement in foreign markets as they gain knowledge and experience.

However, there are limits to exporting as a means of growth:

- Producing abroad can be less expensive than exporting
- Transporting goods and services may be too expensive.
- Government may limit the importation of products and services.

Some quick routes to international market:

- Buying or merging with a firm that is already operating there.
- Trading through the internet.

Specialisation and comparative advantage

- A country may decide to specialise in a particular industry or sector
- For example India specialises in IT due to a huge number of IT graduates from its universities
- This means they can set up call centres for overseas companies staffed by English speaking graduates who are on a fraction of the wages required in the UK

Advantages of specialisation

- Countries that specialise in certain industries can gain advantages by being a global centre for that kind of trade
- China – for example due to low wages and plentiful labour have become a manufacturing centre
- India – Since 1990 large pool of low waged English speaking workers has lead to call centres being set up in India for major companies (Santander, National Rail Enquiries, Prudential Insurance, Barclays, HSBC)
- Although this trend maybe changing as call centre work comes back to UK

Specialisation and economies of scale

- Certain countries have advantages in producing certain goods. They may have natural resources or they may be able to produce goods more cheaply.
- For example Sri Lankan Tea and Japanese electronics. They then trade these goods for those produced in other countries.
- Economies of scale and efficiency – Just like specialisation by individuals, countries can specialise in what they do best, and this leads to efficiency and economies of scale. It can therefore increase output of the country.

Disadvantages of specialisation

- Danger of unemployment – even though national level specialisation usually creates more jobs, there is a risk of certain types of structural unemployment to occur. As the country moves towards specialisation, the workers in the declining industries may not find suitable work for them
- Over-exploitation of resources – output maybe increased by over-exploiting resources.

- There can be negative externalities and social costs if there is damage to the environment from over production

Foreign Direct Investment (FDI) and Link to Business Growth

- FDI is foreign direct investment – this means that a business from one country decides to establish themselves in another country.
- For example a Japanese firm might set up an assembly plant in the UK
- FDI is the long term investment in a foreign country by a multinational
- Some companies will open subsidiaries to expand the global presence
- The MNC that opens a subsidiary in another country may bring with it technologies which will help local productivity
- A country may offer incentives to the business to persuade them to open a subsidiary in their country

Firms may choose to invest directly because the business:

- Has a high potential for making a profit if it invests in a new location.
- Needs to maintain control over its subsidiaries in the new market.
- Is trying to acquire direct knowledge of the local market.
- Is attempting to avoid barriers to the market.

A firm might prefer FDI over exporting or licensing due to:

- Need to maintain control over foreign operations.
- Protection of intellectual property.
- Need to be close to consumers
- High transport cost
- Barriers or political oppositions.

Different forms of FDI

- **Joint venture:** collaboration of two parties to invest, share and control.
- **Strategic alliances:** collaborations created to share resources (often intellectual property) or certain skills (such as managerial expertise).
- **Buying through cross-border mergers and acquisitions (M&A):** main way to carry out FDI. Most M&A are acquisitions.
- **Building 'greenfield' facilities:** development of a rural area, doing business on a site where business activity has not existed before.
- **Horizontal or vertical FDI:** FDI can be horizontal or vertical
 - Horizontal FDI: refers to producing the same products or services as is done at home.

- Vertical FDI: where one firm wants to acquire materials or support for its own products or services - moving into another part of the value chain. This helps to lower its costs, allowing growth in revenue or profit.

Advantages of FDI

- Increases investment levels in the country, which will have a knock on effect of increasing income and employment
- More tax paid to the government which can be spent on health care and education
- Transfer of technology – a highly advanced company may set up in a LEDC and bring with it new production technology methods

Disadvantages of FDI

- Domestic businesses may suffer if they are uncompetitive
- Language and cultural differences may raise barriers between the company and the host nation
- The employment that they bring to the host nation may only be the low wage menial jobs, with all the top positions going to staff flown in from the home nation

Factors Contributing to Increased Globalisation

Globalisation is the process by which the world is becoming increasingly interconnected as a result of massively increased trade and cultural exchange.

Firms and people behaving as though there is just one market or one economy in the whole world is known as **globalisation**.

The biggest companies are no longer national firms but multinational corporations (MNCs) with subsidiaries in many countries.

Global markets are international markets created by firms exporting, importing or offshoring.

Key features of globalisation:

- Goods and services are traded throughout the world.
- People are able to live in a country of their choice - results in more multicultural societies.
- High level of interdependence between countries.
- Capital flows freely between different countries.
- Sharing of technology and intellectual property across borders.

Some countries restrict the number of immigrants entering the country and impose trade barriers, making it difficult to sell goods there.

Factors Contributing to Globalisation

1. Trade liberalisation, the reduction of trade barriers and the role of the world trade organization

Trade liberalisation a quick look at history

- In 1947 General Agreement on Tariffs and Trade (GATT) was created
- The world felt the benefits of many rounds of multilateral trade liberalisation
- It raised living standards around the world as it allowed developing nations to export their goods to more industrialised ones, without having to pay huge tariffs

Benefits of GATT

- GATT meant new jobs for unskilled workers
- Countries enjoyed trade benefits of between \$250 and \$680 billion dollars income a year *
- Labour intensive production manufacturers in developing nations, enjoyed comparative advantage because of low labour costs

Trade liberalisation: countries opening up their economies and allowing trade to flow without any barriers.

- Free trade agreements help to encourage trade between nations - increases volume of international trade.
- Businesses can sell goods and services in new foreign markets without penalties - maintains the process of globalisation.

One reason for the growing level of trade liberalisation is the influence of the World Trade Organisation (WTO). The WTO promotes free trade by persuading countries to abolish tariffs and other trade barriers.

World trade organisation (WTO)

- WTO was created by GATT in 1994 and exists to reduce barriers to trade and to ensure that countries keep to the agreements they have made
- The organisation also deals with complaints between members, organising negotiations and, if necessary, making judgements against a country
- It encourages trade liberalisation by operating a system of trade rules and by providing a forum for the negotiation of trade disputes

Main activities of WTO

- Trade negotiations
- Implementation and monitoring
- Settling trade disputes

- Building membership

Trade liberalisation – why tariffs are imposed

- Governments want to protect their domestic businesses so they use; tariffs, quotas and legal regulations to slow the rate of imports coming into a country
- They might want to stop imports which will compete with state monopolies
- Tariffs also generate important sources of income for poorer countries
- Liberalisation is the easing or dropping of these measures

Benefits of trade liberalisation

- Trade liberalisation is the process of taking down the barriers to trade between nations, removing quotas and tariffs
- Consumers ultimately benefit because liberalised trade can help to lower prices and broaden the range of quality goods and services available – because they are now allowed to buy imported goods

Benefits to business of trade liberalisation

- Companies can benefit because liberalised trade diversifies risks and channels resources to where returns on investment are highest
- Trade openness also means; competition, investment and increases in productivity
- The main industries in Uganda that have benefitted: Sugar , beverages, tobacco , cotton textiles, cement and steel production

Drawbacks of trade liberalisation

- Competition can intensify between businesses, between nations and profit margins can end up being squeezed
- Employment that has been created by lower trade barriers, may only be temporary or menial
- Increased trade can mean pollution or over-cultivation of land to keep up with new demand
- Developing nations can become economically dependent on industrialised ones

2. Political Change

Some radical changes in the political regimes of certain nations have helped to increase globalisation.

- Politics used to be only carried out by individual governments who wanted to protect the interests of their country.

- Politics now happens on a global scale with regular meetings between heads of state, summits, where power devolved to governments in trading blocs such as the EU and organisations such as the WTO.
- This has led to less protectionist policies (tariffs quotas etc) and more open trade between nations. The planet is now one market.

Who are the G7 countries?

- The **Group of 7 (G7)** is a group consisting of Canada, France, Germany, Italy, Japan, the United Kingdom and the United States.
- These countries are the seven major advanced economies as reported by the International Monetary Fund: the G7 countries represent more than 64% of the net global wealth (\$263 trillion).
- A very high net national wealth and a very high Human Development Index (HDI) are the main requirements to be a member of this group.

3.Reduced Cost of Transport and Communication

- Cost of transporting goods long distances between countries has been reduced by cargo containers
- Can gain a business EOS as they can ship huge quantities at once
- There are also cheaper air flights for business people needing to attend meetings in other countries
- Improved international transport networks - decreased cost of flying and increased number of flights and destinations.
- Modern technology allows firms to transfer complex data quickly - allows people to work at any location of their choice - makes it easier for firms to have operations all over the world.
- Evolving use of the internet - easy access to information to both firms as well as consumers.
- Containerization - identical metal boxes that can be loaded and unloaded easily from ships, lorries and trains.
 - Provides a flexible means of transporting goods - enable to reduce cost of transportation.
 - Reduce theft of goods - reduced insurance cost.
 - Speed of loading and unloading is increased.
 - Easier distribution - due to flexibility of containers.

4. Increased Significance of Global (Multinational) Corporations

Globalisation has been caused by some large companies setting up or buying existing businesses in other countries

These businesses that operate in other countries are called MNCs and are from the developed countries (G7)

- E.g. Starbucks, Coca Cola

Firms who sell goods and services into global markets and have production and other operating facilities all over the world are called transnational or **multinational companies (MNCs)**.

- They make a significant contribution to world GDP and represent about two-thirds of global exports.
- They make huge global investments in research and development.
- They search for new cost-effective business opportunities across the world.

5. Increased Investment Flows

Businesses outside of important market trading blocs will invest in a business or set up production inside the trading bloc to get round tariffs, e.g. Honda, Nissan and Toyota manufacturing in the UK.

This has led to globalisation, more companies in more countries.

Can give a country income generation, jobs, GDP growth, skills transfer, and the local businesses will experience the multiplier effect etc.

Foreign direct investment (FDI) occurs when a company makes an investment in a foreign country. Another part of FDI is the purchase of shares in a foreign business. Most FDI is carried out by multinational companies.

- FDI spreads business activity, job creation and wealth all over the world.
- FDI allows businesses to enter markets where trade barriers exist.

6. Migration

Migration is the movement of people who aim to live (permanently or temporarily) in a new location. It is commonly associated with the movement of people between different countries.

- Many countries maintain extensive legal barriers to prevent foreigners seeking work or residency from entering their national borders.
- But in the EU there is free movement of people between nations to work (at the moment, may change after Brexit)
- Immigration provides a source of low income, able bodied workers

How migration contribute to globalisation:

- Migrants import goods from their home countries - import their culture to their new environment.
- Migrants provide a supply of low-cost labour to a nation - businesses can lower their costs and gain a competitive advantage in overseas markets.
- Significant proportion of money earned by migrants is sent back to their homeland - MNCs benefit from this increase in demand.

- Migrants can be highly skilled people, hence they help to fill 'skill gaps' - making huge contributions to businesses and national income.

However, migration might lead to social instability. Migrants may be blamed for a range of domestic problems such as overcrowding and unemployment. Governments are under pressure to reduce flows of migrants into their country.

7. Growth of the Global Labour Force

- A global labour force is one that is free to seek better jobs in other countries
- This can cause resentment from host nations, where citizens feel that their jobs are being taken by immigrants

Growth in the global labour market may be due to:

- Increase in global population
- More women entering the market
- People living longer and working longer
- Effects of migration

How increase in size of global labour market contributed to globalisation:

- Helps to influence global demand - people in employment earn money which can be spent on goods and services.
- Increase in supply of labour keeps wage rates low - helps to keep costs down and encourage businesses to expand their activities more widely.
- Some people moving into the labour market will set up their own businesses, and hence boost the number of businesses globally.

8. Structural Change

- Structural change is an economic condition that occurs when an industry changes the way it operates
- As a country develops it moves away from primary sector business and employment (agriculture) to manufacture as it becomes industrialised
- It can further develop into a knowledge economy – such as the UK – which specialises in tertiary businesses such as; banking, IT services and insurance
- The countries that are able to pull themselves out of poverty are those that move away from primary sector business (agriculture)
- The economy grows as there is more productivity in the secondary sector – manufacturing increases and net incomes rise

- Movement away from traditional sectors and into services allows businesses and economies to thrive as returns on capital invested in many services industries are often higher.
- Development of knowledge-based industries such as information technology help countries to improve the standard of living for their people.
- Internet and social media helps businesses to raise their profiles - also helps them to communicate with potential customers and sell products.
- Many industries in the tertiary sector can operate anywhere, provided a market - not influenced by locational factors.

Impact on Businesses of Globalisation

Benefits

- **Access to huge markets:** provides huge opportunities to increase sales and profit for businesses.
- **Lower costs:** as firms grow, they can exploit economies of scale.
- **Access to labour:** a fast growing business may face shortage of labour - workers from overseas can help to boost the labour supply. Increase in labour supply may also help to prevent wages from rising.
- **Reduced taxation:** by locating their head offices in countries where business taxes are low.

Drawbacks

- **Competition:** many businesses may face strong competition from overseas companies attempting to enter their market.
- **The power of MNCs Globalisation:** they can produce very cheaply and start to dominate global markets, making it difficult for firms in some markets to survive. MNCs also have huge resources which often allows them to manipulate markets and governments.
- **Interdependence:** an event in one country could have an impact on businesses based in another country.
- **Exploitation:** growing globalisation often results in businesses moving operations to countries where the legal system is under-developed.

Extract B

China lifts the ban on video games consoles

In 2014, the Chinese government removed its ban on the manufacture and sale of video games consoles. The decision gave Microsoft, Nintendo and Sony access to the potentially lucrative Chinese market. Analysts believe that sales of video games consoles in China could reach \$13bn and that the Chinese Government's decision to liberalise the video games console market in the country had created 'significant opportunities for the major console manufacturers'. 5

Kazao Hirai, the Managing Director of Sony, stated that China's large population of young people, together with rising incomes will result in China becoming an important growth market. However, he believed positioning the brand will be an important factor in allowing Sony to generate sales at the expense of its competitors. 10

(Source: ©The Guardian)

(c) Assess the possible benefits to manufacturers of video games consoles of the liberalisation of the Chinese market.

- Removal of restrictions that would discourage international trade.
- Opportunity to sell more games consoles.
- The Chinese console market is estimated to be worth \$13 billion.
- Opportunity to enter a market with high-growth rates/income elastic demand/positive income elasticity.
- Greater ability to outsource production to China.
- Larger economies of scale.

Potential counterbalance

- Competition will intensify.
 - Demand will become price elastic.
 - First mover advantage becomes crucial.
 - Profit margin may be squeezed.
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Protectionism

Protectionism is the theory or practice of shielding (or protecting) a country's domestic industries from foreign competition by taxing imports, imposing quotas or passing laws

Reasons why government have opted to use trade barriers

It is human nature to want to protect what is ours

Protectionism is a government's actions to protect the businesses and interests of their own nation

Any government which operates protectionist policies (e.g. USA under Trump) is looking to protect their own businesses from more competitive international trade

- **Protection for domestic industries:** The main reason that a government will seek to put in place protectionist policies is to protect their domestic industries. For example the French government will seek to protect French industries so may place tariffs and quotas on imports of wine and cheese. This stops the French markets being flooded with cheap imports, which will affect the sales
- **Preventing dumping:** dumping is where foreign producers sell goods below cost in a domestic market. If very cheap imports are being sold below cost in a country, domestic producers will find it difficult to survive in the long term.
- **Protecting employment:** trade barriers may be used if domestic industries need protection from overseas competitors to save jobs. Government may be criticised if jobs are being lost due to cheap imports.
- **Protecting infant industries:** infant industries should be protected from strong overseas rivals until they can grow, become established and exploit economies of scale. However governments may struggle to identify infant industries with potential.
- **To gain tariff revenue:** this money can be spent on government services to improve living standards.
- **Preventing the entry of harmful or undesirable goods:** administrative barriers might be used to prevent this type of international trade.
- **Reduce current account deficits:** a country may need trade barriers if it has a very large current account deficit on the balance of payment - reduce imports and increase exports at the same time to reduce the deficit.
- **Retaliation:** one motive for imposing trade barriers is to fight back against dumping. It may also occur if a country imposes trade barriers on export. That country may retaliate by imposing trade barriers on that nation's imports resulting in trade war.
- **National security:** trade barriers are imposed if the government recognises the threat to a nation if it becomes over-dependent on trade with other countries for its economic sustainability.

Tariffs

A tariff is a tax placed on an import to increase its price and decrease its demand. Tax can be imposed by governments to raise revenue and to restrict imports. A tariff is likely to raise the final price to the consumer – therefore a fall in demand for the goods. Consumers will switch consumption to domestic goods

Imports can be made more expensive if the government imposes a special tax on them.

Taxes on imports are called tariffs or customs duties.

This will reduce demand for imports and increase demand for goods produced at home.

Tariffs also raise revenue for the government.

However, imposition of a tariff may only have limited impact if demand for the import price is inelastic - demand will not fall in relation to the price increase.

Tariff is seen as a more efficient way to place limits on the inflows of international goods without making things more difficult for producers who import goods.

Represent the best approach to supporting the domestic economy - they provide consumers with a wider choice and promote genuine competition.

Tariffs – impact on business

- Imposing a tariff will help a country to:
 - Protect their fledgling (new) domestic industries from foreign competition
 - Protect their aging and inefficient industries from foreign competition
- However:
 - If a business faces having to pay stiff tariffs they may have to reduce production and this can mean job losses

Tariffs – 3 reasons they are imposed

1. To raise tax revenue

Poorer countries may impose heavy tariffs on imports to raise much needed funds for healthcare and education

2. For environmental reasons

Tariffs are sometimes only placed on goods that have negative externalities e.g. cigarettes

3. Protectionism

Advantages of tariffs

- Domestic produced goods do not incur the tariff and so are likely to be cheaper
- Tariff protection allows domestic businesses to sell more because they gain a price advantage compared to imports

- Domestic producers gain price advantage
- It can ensure better job security
- It can raise important tax revenue for government which can be spent possibly on infrastructure

Disadvantages of tariffs

- Some products, even with tariff cost added, do not put off potential customers willing to pay for unique or unusual imported products
- Tariffs may just increase the costs to consumers
- Other countries may retaliate by imposing their own tariffs on imports

Import Quotas

- A quota is a physical limit on the quantity of goods imported or exported for example only 10,000 units a year
- Imposing a limit on the quantity of goods that are imported will increase the share of the market available for domestic products (made in the home country)
- New Zealand is allowed to import up to 230,000 tons of sheep and goat meat a year to the EU
- Domestic producers face less threat as they have more of the market for themselves.

Why are quotas imposed?

- When an import quota is set, it allows a country to be sure of the amount of the good imported from the foreign country
- When there is a tariff, if the supply curve of the foreign country is unknown, the quantity of the good imported may not be predictable, quotas are predictable because the actual amount is known
- Quotas help to protect or increase domestic employment.
- It also helps to prevent imported goods from overpowering the market - this improves consumer choice.
- However, quotas will raise prices because fewer of the cheaper imports are available.

Uses of import quotas

- Import quotas are imposed to protect jobs of domestic producers
- Import Quotas are also imposed as a bargaining chip to be used in negotiations on trade

- Other uses for quotas are to protect strategic industries such as defence and agriculture. In market environments where imports are on the rise, quotas are more protective than tariffs.

Advantages of import quotas

- protects domestic industries e.g. USA calling for quotas on steel imports
- safeguards jobs in domestic industries
- Benefit to the customers, the price of imported goods rise so domestic goods appear cheaper and better value in comparison

Disadvantages of quotas

- When one country uses quotas, its trading partners do the same and the end result is less exporting opportunity for all producers and higher prices for all consumers.
- Quotas are also complex for the country using them. They require a lot of paperwork indicating exact amounts of products for each country facing a quota.
- It is also difficult to measure the precise degree of protection quotas offer.

Other Trade barriers

Government Legislation

- Sometimes a country will not be able to set tariffs or quotas because of trade agreements or membership of a trade bloc, this means they need to come up with other ways of protecting their domestic industries from floods of cheap imports
- They can do this through legislation e.g. No fakes, safety of toys etc.
- Countries can reduce the amount of imports by insisting that imported goods meet strict regulations and specifications.
- Legislation can be passed to prevent entry of goods.
- Goods that fail to reach cultural or environmental standards may also face administrative barriers.

Advantages of government legislation

- Government legislation can be a very powerful tool in preventing fake imports into countries
- For example any toys imported into the UK must have a CE mark
- This indicates that the product conforms to EU safety regulations
- The added benefit is it means customers can trust the products that they are buying are genuine

Disadvantages of government legislation

- Every import into the UK cannot be checked 2% are fake (according to the OECD) so no matter how many laws a country has it cannot prevent ALL fakes from arriving on their shores
- The profits go to organised crime and can be in any sectors including medicine, machinery and clothing

Domestic Subsidies

- Subsidy is a way of a government protecting their domestic markets
- Money is given to local producers to make their goods cheaper on the domestic market
- This artificially raises the price of foreign goods relative to domestic goods therefore reducing demand for them
- this involves giving financial support, such as grants to exporters or domestic producers who face strong competition from imports.
- This lower prices for consumers as subsidies reduce production cost and increase supply, forcing down equilibrium prices.
- Subsidies given to exporters makes it easier for home businesses to break into foreign markets.

Subsidy example - CAP

- Europe has a system of agricultural subsidies. This is called the common agriculture policy or CAP.
- “Agriculture is at the heart of our daily life, vital to the economy and society. And farming cannot exist without farmers. They produce high quality, safe food for more than 500 million EU citizens. They also help tackle climate change and preserve the diversity of agriculture”*

Advantages of domestic subsidies

- Encourages businesses to increase their production, this can lead to more jobs being created and tax paid back to the government
- Can give domestic producers first mover advantage when exporting to emerging markets (BRICS, MINT)
- Can help domestic businesses to gain economies of scale from extra production

Disadvantages of domestic subsidies

- Domestic subsidies are a form of protectionism and so is open to retaliation from other nations in return. This may mean higher tariffs or quotas on our exports.

- Subsidies essentially encourage business activity which would be unprofitable and inefficient without the government financial hand out in the form of the subsidy

Impact of Protectionism on Businesses

Benefits - short term

- Reduced competition - domestic businesses benefit from this in such cases where foreign businesses are dumping goods.
- Compete easily as the prices of imports are higher - increase their sales volume, revenues and profits.
- Extra profits may be used to develop new products and/or improve production - improve efficiency and competitiveness.
- Fill in the gap in demand as imports are reduced due to quotas imposed.

Drawbacks - long term

- Free trade encourages competition - improves efficiency and wins bigger market share and becomes more prosperous.
- Free trade leads to specialisation - lower opportunity cost, higher sales levels and more profit.
- Protectionism is likely to attract retaliation from overseas governments.

Trading Blocs

- A trading bloc is a type of intergovernmental agreement to reduce regional trade barriers
- Depending on how closely the members wish to integrate their economies they may form different types of trading blocs such as free trade areas, customs unions, common markets and full economic & monetary union
- UK is part of the EU trading bloc

Regional trade agreements (RTAs) are made between two or more countries within a geographical region, designed to facilitate trade by bringing down barriers. RTAs create trading blocs.

Different forms of trading blocs

- **Free trade areas (FTA):** a region in which a group of countries has signed a free trade agreement and maintains little or no barriers to trade in the form of tariffs or quotas between each other.
- **Customs union:** an agreement between two or more countries to remove trade barriers and lower or eliminate tariffs. Members generally apply a common external tariff on imports from non-members.

- **Common market:** economic integration in which each member country applies uniform external tariffs and eliminates trade barriers for goods, services and factors of production between them.
- **Single market:** a type of trade bloc in which most trade barriers have been removed (for goods) with some common policies on production (capital and labour) and of enterprise and services.
- **Economic unions:** an agreement between two or more nations to allow goods, services, money and labour to move freely over borders.

Expansion of trading blocs

- Expansion of a trading bloc; the process of more countries joining an existing trading bloc, thereby making it expand
- As other countries see the benefits of belonging to a free trade area, they may eventually apply to join
- These benefits might be; access to larger markets, economies of scale by producing more and selling more, enhanced competition and migration with a good supply of able bodied labour

Impact on Businesses of Trading Blocs

Opportunities of Free Trade

- Free trade is trade that takes place between countries without protectionism e.g. no tariffs or quotas on imports
- This brings with it opportunities to business:
 - **#1 Freedom to trade;** For example Canadian businesses can sell goods and services freely across the whole of the NAFTA
 - **#2 Enlarged market;**
 - Trade blocs expand a market for a product, for example:
 - 450 million potential customers in NAFTA
 - 508 million customers in the EU
 - 635 million customers in ASEAN
 - **#3 Protection from international competition outside of the BLOC;** For example businesses are protected from competition from China and India where goods can be made more cheaply due to lower wage rates
 - **#4 Freedom of movement of people;** For example businesses can employ talented people from across the world

Drawbacks of free trade

- Free trade agreements (such as trading blocs) can also create problems for business
- Dominance of developed countries in global trading
- It can kill off domestic business in developing nations
- It can reduce national sovereignty or identity as countries become standardised, westernised and Mcdonaldized

Assess the benefits of joining a trade bloc to a business

Analysis

- Allows individual members to specialise.
- Improve capital flows, make regulations more efficient and improve competition.
- Economies of scale - lower costs for businesses and lower prices for consumers.
- Resources may be easier to source and labour easier to recruit - production and transport costs may fall.
- Greater competition - increased efficiency.
- Provide counterbalance against globalisation, protecting industries in an area against competitors from more economically powerful regions.
- May give regions power to negotiate for better deals in the global market.

Evaluation

- Countries outside the region may be better placed to specialise or develop a competitive advantage - may lead to trade diversion rather than trade creation.
- Inefficient producers may be protected from competition.
- Overall benefits may be small if an agreement limits the goods/services that are traded.
- Benefits may be distributed unequally, causing political and social tensions.
- May lead to tensions with other regions, leading to possible retaliation.
- Members of RTAs may have different levels of economic power - can cause political imbalance and potential conflict.
- Smaller organisations may face pressure on their pricing strategies - they also often fear the consolidation of a trading bloc and the competitive changes in the marketplace that it brings.